



Statement of Issues

14 November 2024

Cleanaway Waste Management Limited – proposed acquisition of Citywide Waste

Purpose

1. Cleanaway Waste Management Limited (**Cleanaway**) has agreed to acquire the waste and recycling business of Citywide Service Solutions Pty Ltd (**Citywide Waste**), which includes the operation of the waste transfer station located at 391-395 Dynon Road in West Melbourne (**Dynon Road Facility**).
2. This Statement of Issues:
 - gives the Australian Competition and Consumer Commission's (**ACCC**) preliminary views on competition issues arising from the proposed acquisition
 - identifies areas of further inquiry
 - invites interested parties to submit comments and information to assist our assessment of the issues.
3. Statements of Issues do not refer to confidential information provided by the parties or other market participants and therefore may not fully articulate the ACCC's preliminary position.

Overview of ACCC's preliminary views

4. In considering the proposed acquisition, the ACCC applies the legal test set out in section 50 of the *Competition and Consumer Act 2010* (the **CCA**). In general terms, section 50 prohibits acquisitions that would have the effect, or be likely to have the effect, of substantially lessening competition in any market.
5. The ACCC divides its preliminary views into three categories, 'issues of concern', 'issues that may raise concerns' and 'issues unlikely to raise concerns'. In this Statement of Issues there is one 'issue of concern', two 'issues that may raise concerns' and one 'issue unlikely to raise concerns'.

Issue of concern

Reduction in competition in the supply of putrescible waste disposal services for commercial and industrial waste

6. The ACCC's preliminary view is that the proposed acquisition is likely to have the effect of substantially lessening competition in the supply of putrescible waste¹ disposal services in Melbourne for commercial and industrial waste, particularly in the central and west regions of Melbourne.
7. The ACCC is concerned that the proposed acquisition would remove the competitive tension between Citywide Waste's Dynon Road Facility and nearby putrescible waste disposal facilities operated by Cleanaway, including Melbourne Regional Landfill. The ACCC is concerned that this would likely lead to higher prices for putrescible waste disposal services for commercial and industrial waste.

Issues that may raise concerns

Reduction in competition in the supply of putrescible waste disposal services for municipal waste

8. The ACCC is concerned that the proposed acquisition may have the effect of substantially lessening competition in the supply of putrescible waste disposal services for municipal waste for councils in the vicinity of Melbourne's central business district.
9. The ACCC is concerned that proposed acquisition may impact those councils able to use the Dynon Road transfer station to lower the overall waste management costs associated with their putrescible waste. In particular, for those councils where Dynon Road is part of an alternative option to sending waste directly to Melbourne Regional Landfill, the proposed acquisition may remove the benefits of competitive tension between Melbourne Regional Landfill and Dynon Road in future municipal waste disposal tender processes.

Foreclosure of rivals in the supply of waste collection services

10. The ACCC is concerned that the proposed acquisition may have the effect of substantially lessening competition in the supply of commercial and industrial waste collection services for putrescible waste.
11. The ACCC is concerned that post-acquisition Cleanaway may have the ability and incentive to exercise the market power it would hold in putrescible waste disposal in the central and west regions of metropolitan Melbourne to foreclose commercial and industrial collections rivals' access to key putrescible waste disposal facilities, such as Dynon Road, through raising rivals' costs through higher prices and/or lower quality services. Engaging in such a strategy may limit the ability of Cleanaway's rivals to effectively compete for commercial and

¹ Putrescible wastes contain organic matter capable of being decomposed by microorganisms.

industrial collections customers, and may lead to higher prices and/or reduced quality for these collections services.

12. The ACCC is also concerned that the proposed acquisition may have the effect of substantially lessening competition in the supply of municipal waste collection services for putrescible waste.
13. The ACCC is also considering whether the acquisition would increase Cleanaway's ability and incentive to foreclose rival providers of municipal collections services for putrescible waste, and in doing so impact these rivals' ability to effectively compete for municipal collections contracts for the councils located in the vicinity of the Melbourne central business district.
14. The ACCC is considering whether this could occur through raising rivals' costs through higher prices or providing lower quality services where waste is collected by rivals at the Dynon Road facility. The ACCC is also considering whether this could occur through bundling (or otherwise connecting) Dynon Road's services with municipal collections services, or bundling (or otherwise connecting) Dynon Road's services, Melbourne Regional Landfill's services and municipal collections services. In assessing this issue, the ACCC is considering both current practice and potential future practice regarding tenders for municipal collection and disposals.

Issues unlikely to raise concerns

Foreclosure of feedstocks for waste to energy facilities

15. The ACCC's preliminary view is that the proposed acquisition is unlikely to have the effect of substantially lessening competition in the supply of waste to energy services in Melbourne. The ACCC considered whether the proposed acquisition would have the effect of foreclosing potential rival waste to energy facilities access to an important feedstock of waste coming from the Dynon Road Facility; however, the ACCC understands that there are a number of alternative sources of waste that rival developers of waste to energy facilities could seek to use.

Making a submission

16. The ACCC invites submissions from interested parties, particularly on the following key issues:
 - the closeness of competition between Citywide Waste's Dynon Road Facility and nearby putrescible waste disposal facilities operated by Cleanaway, including Melbourne Regional Landfill for commercial and industrial waste
 - the extent to which alternative putrescible waste disposal facilities in Melbourne are effective alternatives to the Dynon Road Facility and Cleanaway's nearby disposal facilities for commercial and industrial waste, particularly in the central and west regions of Melbourne
 - the extent to which the Dynon Road Facility and nearby putrescible waste disposal facilities operated by Cleanaway, including Melbourne Regional

Landfill, are considered as part of alternative options by councils in the vicinity of Melbourne's central business district for putrescible waste disposal

- for each of the above points, the degree to which competition between disposal facilities is impacted by distance and/or travel time (and the associated transportation costs) between waste collection sites and disposal facility sites, as well as other key factors that impact the degree of competition between these facilities
 - the likelihood that, post-acquisition, Cleanaway would have the ability and incentive to foreclose rival suppliers of commercial and industrial waste collection services from putrescible waste disposal services in central and west metropolitan Melbourne by raising rivals' costs through higher prices and/or lower service levels
 - the likelihood that, post-acquisition, Cleanaway would have the ability and incentive to foreclose rival suppliers of municipal putrescible waste collection services by raising rivals' costs through higher prices or lower quality services at the Dynon Road Facility, or by bundling (or otherwise connecting) their municipal disposal and collection services, particularly for councils in the vicinity of Melbourne's central business district, taking into account both current tendering practice and any changes in the future.
17. Interested parties should provide submissions by **28 November 2024**. Responses may be emailed to mergers@accc.gov.au with the title: Submission re: Cleanaway/Citywide Waste. If you would like to discuss the matter with ACCC staff or have any questions about this Statement of Issues, please email mergers@accc.gov.au.
18. The ACCC anticipates making a final decision on **13 February 2025**, however, this timeline can change. To keep up with possible timing changes and to find relevant documents, interested parties should visit the Mergers Register on the ACCC's website at www.accc.gov.au/publicregisters/mergers-registers/public-informal-merger-reviews.

Confidentiality of submissions

19. The ACCC will not publish submissions regarding the proposed acquisition. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the CCA. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, please identify any confidential information that is provided to the ACCC. Our [Informal Merger Review Process Guidelines](#) contain more information on confidentiality.

About ACCC 'Statements of Issues'

20. A Statement of Issues is not a final decision about a proposed acquisition. A Statement of Issues outlines the ACCC's preliminary views and identifies further lines of inquiry.

21. A Statement of Issues provides an opportunity for all interested parties (including customers, competitors and other stakeholders) to ascertain and consider the primary issues identified by the ACCC. It is also intended to provide the merger parties and other interested parties with the basis for making further submissions should they consider it necessary.

Industry background

Waste types and services

22. Waste can be “putrescible” or “non-putrescible”. Putrescible waste contains organic matter capable of being decomposed by microorganisms. Non-putrescible waste is primarily non-organic waste such as paper, cardboard, plastics and metal, and may be recyclable or non-recyclable. Putrescible waste is the main type of waste relevant to the acquisition.
23. There are multiple activities conducted by the waste management industry. For putrescible waste the key activities are:
- Collections services: which involves collecting and transporting waste to a disposal facility.
 - Disposal services: which involves operating a disposal facility that receives waste from companies that provide collections services, or other waste transport services. Disposal facilities include at transfer stations, landfills and future waste to energy facilities in Victoria.
24. 40% of Australia’s waste is disposed of in landfills.² State governments often impose landfill diversion targets and landfill levies to encourage resource recovery. Landfill disposal fees include the Victorian waste levy, which for 2024-2025 is \$132.76 per tonne.³ While landfills also vary in size, landfills are generally much larger facilities than transfer stations and can be engineered facilities capable of accepting several hundred thousand tonnes of waste per year.
25. There are several large landfills in Melbourne, including Cleanaway’s Melbourne Regional Landfill. Due to their size and the need to include a buffer zone to separate the landfill from neighbouring properties, these landfills are generally located in the outer suburbs of Melbourne.
26. Due to the location of Melbourne’s landfills, transfer stations are useful as consolidation points for aggregating waste for bulk transport to final disposal sites, such as landfills. Transfer stations charge their customers for the transportation of waste from their facility to the final disposal site, and their fees can include the landfill disposal fees. Transfer stations can vary in size; some

² <https://www.dcceew.gov.au/environment/protection/waste/publications/national-waste-reports/2013/infrastructure>

³ <https://www.epa.vic.gov.au/for-business/find-a-topic/landfill-guidance/waste-levy>

transfer stations in Melbourne are primarily used to dispose residential waste, whereas others (including the Dynon Road Facility) can accept waste from companies that collect residential waste, and commercial and industrial waste. As shown in Figure 1 below, most of the transfer stations we have considered to date are located closer to Melbourne's central business district than landfills.

27. Disposal facilities require licences to accept putrescible waste, however putrescible facilities generally also accept non-putrescible waste. Recycling facilities accept specific types of waste, such as paper and cardboard, green and timber waste, and glass waste.

Collections services

28. The waste collections services relevant to the proposed acquisition are:
 - Municipal council collections for putrescible waste: which involves the kerbside collection of residential general / putrescible waste. The ACCC understands that Melbourne councils currently typically tender for collections and disposal services for putrescible waste separately. The collections service provider will transport the waste to the putrescible waste disposal facility nominated by the council.
 - Commercial and industrial collections for putrescible waste: which involves the collection and disposal of putrescible waste from commercial and industrial businesses or organisations including commercial sites, government facilities, educational institutions and industrial sites.

Disposal services

29. The waste disposal services relevant to the proposed acquisition are:
 - Disposal of commercial and industrial putrescible waste: after waste is collected from businesses or organisations, the commercial and industrial collector will choose the disposal facility to drop their waste at. The ACCC understands that it is common for collectors to have tipping agreements with a range of disposal facilities and these agreements are non-exclusive. The choice of facility tends to be impacted by the disposal costs, including gate fees and transportation costs, determined by the distance between their customers' sites, their depot, and the disposal facility (which determine the collectors' collection routes). The ACCC understands that many commercial and industrial waste collectors consider transfer stations and landfills to both be viable options to dispose of waste, on the condition that the transfer station can accept commercial volumes of waste.
 - Disposal of municipal putrescible waste: as identified above, municipal councils in Melbourne currently typically tender for disposal services separately to collections services for putrescible waste. Further, the collections provider will generally be directed by the council to dispose of the waste at a nominated putrescible waste disposal facility. The ACCC

understands that the majority of Melbourne councils currently have contracts to dispose of their waste at Cleanaway's Melbourne Regional Landfill, South East Melbourne Transfer Station and Lysterfield Resource Recovery Centre, pursuant to a tender run by the Metropolitan Waste Resource Recovery Group.⁴

Diversion from landfill

30. The Victorian government has set targets towards the long-term diversion of recycled and organic material from landfill. These targets are: 80% of waste from all waste streams being diverted from landfill and 50% reduction in organic material going to landfill by 2030.⁵
31. As part of these targets, the Victorian government recognises the role of waste to energy facilities to divert waste from landfills. Although there are no waste to energy facilities currently in operation in Victoria, three facilities have received development approval.⁶ The Victorian government has set a one million tonne cap on the amount of waste that can be heat treated to make energy as a means of limiting diversion from recycling.
32. The ACCC understands that the three currently approved facilities are not subject to the Victorian government cap and there are a number of proposed facilities that are yet to receive approval, including Cleanaway's Melbourne Energy and Resource Centre at Wollert.⁷
33. The ACCC understands that waste to energy facilities can vary in capacity, from smaller scale facilities capable of accepting roughly 100,000 tonnes of waste to large scale facilities capable of accepting roughly 250,000 tonnes of waste. The ACCC also understands that there are high capital costs and long lead times (5 years or more) involved in the development and construction of waste to energy facilities. As such, it is common for companies to secure disposal contracts, particularly with municipal councils, before committing funding to construction.

The parties

The acquirer: Cleanaway

34. Cleanaway is an ASX-listed company (ASX:CWY) that provides recycling, waste management and industrial services in Australia. This includes the supply of waste management services to municipal councils and commercial and industrial customers.

⁴ <https://www.cleanaway.com.au/sustainable-future/cleanaway-wins-contract-21-melbourne-councils/#:~:text=Regional%20Manager%20Melinda%20Lizza%20said,than%20605%2C000%20tonnes%20per%20year.>

⁵ <https://www.vic.gov.au/strategic-plan-2023-2026>

⁶ Veolia at Maryvale, REA Solo at Laverton, and Great Southern Waste Technologies at Dandenong

⁷ <https://www.cleanaway.com.au/location/melbourne-energy-and-resource-centre/>

35. Cleanaway owns and/or operates a number of waste disposal and processing facilities in Melbourne:
- Transfer stations licensed to accept both putrescible and inert waste: Brooklyn, Lysterfield and South East Melbourne Transfer Station (in Dandenong South)
 - Transfer stations licensed to accept only inert waste: Altona, Clayton South and Hallam
 - Material recovery facilities:⁸ Coolaroo, Laverton
 - Organics processing facility:⁹ South East Organics Facility (in Dandenong South)
 - Putrescible landfill: Melbourne Regional Landfill (in Ravenhall)

The target: Citywide Waste

36. Citywide Waste provides waste management services in Melbourne only. It is currently fully owned by the Melbourne City Council and provides waste collections services to municipal councils and commercial and industrial customers.
37. Citywide Waste operates the Dynon Road Facility, a putrescible waste transfer station located at 391-395 Dynon Road in West Melbourne, which processes and transfers municipal and commercial and industrial waste from Citywide Waste and other waste management providers. Annually, the Dynon Road Facility receives over 200,000 tonnes of waste and recycling material.¹⁰

Other industry participants

Major providers of waste management services in Australia

38. There are a number of large providers of waste management services in Australia who offer disposal and/or collections services across multiple states. Some of these providers are described below, including a brief description of their activities in Melbourne.
39. **Veolia** is a publicly listed company headquartered in France, with operations in 48 countries. In Australia, Veolia supplies water management, waste management and energy solutions through various wholly owned subsidiaries. In Melbourne, Veolia operates the Hallam Road landfill at Hampton Park and is

⁸ Material recovery facilities focus on resource recovery, including the sorting, separation and conversion of waste to reusable products.

⁹ Organics processing facilities receive and treat waste such as food and organic waste for reuse as compost.

¹⁰ <https://cleanaway2stor.blob.core.windows.net/cleanaway2-blob-container/2024/06/Acquisition-Of-Citywide-Waste-2738213.pdf>

developing a waste to energy facility in Maryvale (in eastern Victoria). Veolia is also active in commercial and industrial waste collection in Melbourne.

40. **Remondis** is a multinational group that supplies waste and water management services. In Australia, Remondis supplies waste management services to municipal councils, and commercial and industrial customers. In Melbourne, Remondis supplies commercial and industrial waste collection services.
41. **JJ Richards** is a large privately owned company that provides waste management services, including collection and disposal in Australia. In Melbourne, JJ Richards provides waste collection services to various municipal councils, and commercial and industrial customers.
42. **Bingo** provides waste collection and processing services primarily for building and demolition, and commercial and industrial customers. Bingo has several resource recovery and recycling facilities across NSW and Victoria. In Melbourne, Bingo has recycling and transfer facilities in West Melbourne, Campbellfield, Clarinda and Dandenong, which the ACCC understands are not licenced to accept putrescible waste.

Municipal waste collection providers

43. In addition to Cleanaway, Citywide Waste and JJ Richards, the ACCC understands that the following companies also currently provide collections services to Melbourne municipal councils:
 - **Solo** is a collections company headquartered in NSW. In Melbourne, Solo supplies waste collection services to commercial and industrial customers, and municipal councils.
 - **Four Seasons** provides waste collection services to municipal councils in Melbourne.

Putrescible waste disposal facilities in Melbourne

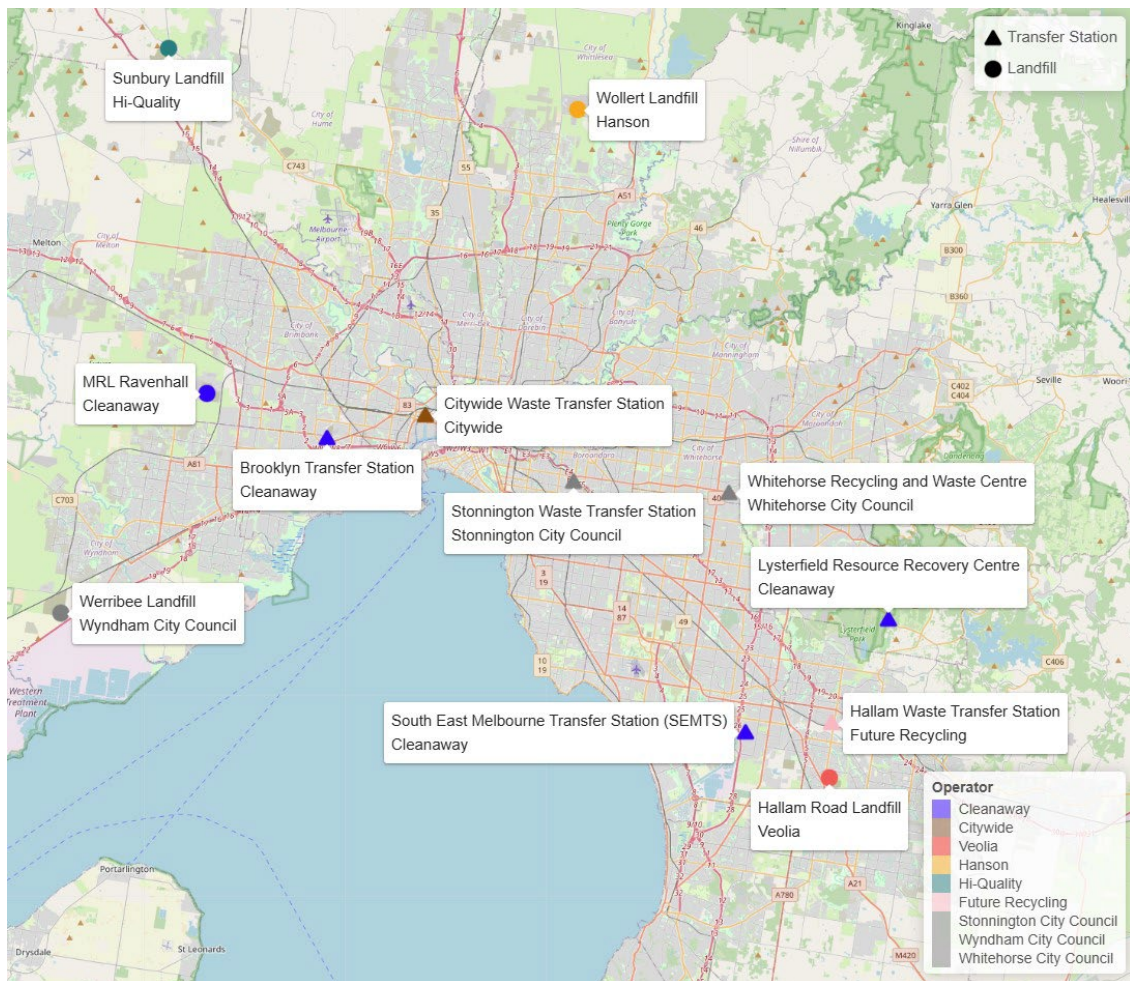
44. Market feedback has indicated that there are a number of waste disposal facilities in Melbourne with the capacity to accept large volumes of putrescible waste. These are listed in Table 1 and presented in Figure 1.

Table 1: Putrescible waste facilities in Melbourne

Operator	Putrescible waste disposal facility location (and name)	Approximate driving distance from Melbourne CBD
Landfills		
Cleanaway	Ravenhall (Melbourne Regional Landfill)	30km
Hi-Quality	Bulla (Sunbury Landfill)	35km

Operator	Putrescible waste disposal facility location (and name)	Approximate driving distance from Melbourne CBD
Wyndham City Council	Werribee	40.5km
Hanson	Wollert	42.5km
Veolia	Hampton Park (Hallam Road Landfill)	45km
Transfer stations		
Citywide Waste	West Melbourne (Dynon Road)	5.5km
Stonnington City Council	Malvern (Stonnington Waste Transfer Station)	11km
Cleanaway	Brooklyn	14.5km
Whitehorse City Council	Vermont (Whitehorse Recycling & Waste Centre)	37.5km
Cleanaway	Dandenong South (South East Melbourne Transfer Station)	39km
Cleanaway	Lysterfield (Lysterfield Resource Recovery Centre)	39km
Future Recyclers	Hallam (Future Recycling Transfer Station Hallam)	40km

Figure 1: Map of putrescible waste facilities in Melbourne



The proposed acquisition

45. Cleanaway proposes to acquire Citywide Waste, including its existing contracts and employees, and will enter into a 35-year lease with the Melbourne City Council to operate the Dynon Road Facility.
46. As part of the proposed acquisition, Cleanaway has also committed \$35 million to redevelop the Dynon Road Facility.¹¹

Future with and without the acquisition

47. In assessing a proposed acquisition under section 50 of the CCA, the ACCC considers the effects of the acquisition by comparing the likely future state of competition if the acquisition proceeds (the 'with' position) to the likely future state(s) of competition if the acquisition does not proceed (the 'without'

¹¹ <https://cleanaway2stor.blob.core.windows.net/cleanaway2-blob-container/2024/06/Acquisition-Of-Citywide-Waste-2738213.pdf>

position), to determine whether the proposed acquisition is likely to substantially lessen competition in any relevant market.

48. The ACCC understands that the City of Melbourne undertook a competitive sale process for Citywide Waste.¹² The ACCC considers that absent the proposed acquisition the Citywide Waste business may be sold to another purchaser or retained by the City of Melbourne. At this stage, the ACCC's approach has been to compare the likely future state of competition if the proposed acquisition proceeds with the status quo, rather than compare the proposed acquisition with a scenario where Citywide is acquired by a particular provider or any particular development is undertaken.

Areas of overlap

49. In Melbourne, Cleanaway and Citywide Waste overlap in the supply of:
- putrescible waste disposal services for commercial and industrial and municipal waste
 - commercial and industrial collections
 - municipal collections services.
50. These activities generally overlap in the central and west regions of Melbourne.
51. We note that Cleanaway also provides waste management services across Australia, including competing for national or multi regional commercial and industrial contracts. Citywide Waste's activities are more limited and it does not have operations outside of Melbourne.

Market definition

52. The ACCC's starting point for considering which markets will be affected by the proposed acquisition is to identify the areas of overlap between the services actually or potentially supplied by the merger parties. The ACCC then considers other actual or potential suppliers of those services, as well as other services that may constitute sufficiently close substitutes to provide a significant source of constraint on the merged entity.
53. The ACCC is continuing to consider the scope of the relevant markets, but has so far identified the impact of the proposed acquisition on competition for the supply of:
- putrescible waste disposal services (including both transfer stations and landfills) in Melbourne for commercial and industrial waste, particularly in the central and west regions of metropolitan Melbourne

¹² <https://www.afr.com/street-talk/john-brumby-chaired-citywide-mulls-options-for-waste-arm-20240206-p5f2w4> 6 February 2024

- putrescible waste disposal services (including both transfer stations and landfills) in Melbourne for municipal waste, particularly for councils in the vicinity of Melbourne's central business district
- commercial and industrial waste collection for putrescible waste in Melbourne
- municipal waste collection for putrescible waste for councils in the vicinity of Melbourne's central business district.

Putrescible waste disposal for commercial and industrial waste

Product dimension

54. The ACCC considers that putrescible waste disposal is in a separate market to non-putrescible waste disposal primarily due to licencing requirements from the Victorian Environment Protection Authority. While putrescible waste disposal facilities are capable of accepting non-putrescible waste, putrescible waste can only be disposed of at facilities that are licensed to accept putrescible waste.
55. The ACCC's preliminary view is also that putrescible waste disposal services for commercial and industrial waste is in a separate market to such services for municipal waste. While each category of customer may consider similar sets of disposal facilities as alternatives, the degree of competition between putrescible disposal facilities may differ for municipal and commercial and industrial waste. This is because the trucks, collection routes and timing involved in servicing each municipality will differ, and will also likely be different for waste collections companies servicing commercial and industrial customers. There are also differences in the process by which these services are acquired, including the potential for municipal councils to collectively procure long term agreements with disposal facilities through tender processes.

Functional dimension

56. The ACCC currently considers that there is a single relevant market that includes both transfer stations and landfills.
57. As noted above, these facilities can perform different tasks. At transfer stations, waste is aggregated at and then transported in bulk to final disposal sites, such as landfills. Waste is generally just dropped at a landfill (it is not aggregated and transported away from landfills). As such, transfer stations may rely on landfills as an input to the services they supply.
58. While transfer stations and landfills may have a relationship across the supply chain, and relative prices can differ to reflect differences in services, the ACCC understands that Melbourne Regional Landfill is an alternative for commercial and industrial collections companies that drop waste off at the Dynon Road transfer station. This is because these facilities are located relatively close to each other and they both accept large volumes of putrescible waste. Accordingly, they appear to compete directly with one another for commercial and industrial waste.

Geographic dimension

59. The ACCC considers that the distance between waste collection sites and disposal facilities is an important determinant of competition between disposal facilities, including competition between transfer stations and landfills. This is due to the costs associated with transporting waste between the collection sites, disposal sites, and the collection truck depots. These costs include fuel, staff, tolls and associated truck maintenance.
60. Companies that provide collection services aim to minimise these costs by maximising the volume of waste that can be picked up by a truck before it goes to tip at a disposal facility, and minimising the time taken and distance travelled between the truck's stops. As such, the closer disposal facilities are to a particular waste collection site, the more likely these facilities are to compete with each other for the disposal of the waste from that site.
61. For putrescible commercial and industrial waste, the ACCC understands that Cleanaway's Melbourne Regional Landfill is an alternative to Dynon Road due to their relatively nearby locations and capacity to accept large volumes of putrescible waste. As such, the parties' disposal facilities are likely to overlap in the supply of disposal services for commercial and industrial waste located in central and west metropolitan Melbourne. The ACCC's preliminary view is that the geographic dimension of the market is likely to be limited to the central and west region of metropolitan Melbourne.
62. The ACCC is continuing to consider the extent to which other putrescible waste facilities compete with Dynon Road and Cleanaway's disposal facilities in these areas. The ACCC is also continuing to consider the degree to which putrescible disposal facilities in the north, east and south-east of Melbourne are substitutes for putrescible disposal facilities in the central and west regions of Melbourne for commercial and industrial waste.

Putrescible waste disposal for municipal waste

Product dimension

63. As described above, the ACCC considers that putrescible waste disposal is in a separate market to non-putrescible waste disposal. The ACCC also considers that putrescible waste disposal for municipal waste is in a separate market to putrescible waste disposal for commercial and industrial waste.

Functional dimension

64. The ACCC currently considers that there is a single relevant market that includes both transfer stations and landfills.
65. While transfer stations and landfills may have a relationship across the supply chain, and relative prices can differ to reflect differences in services, the ACCC understands that municipal collections companies can drop waste off at transfer stations or landfills. The ACCC also understands that councils have typically tendered for disposal services (landfill and transfer stations) through the same tender process.

66. As such, when councils are considering their disposal arrangements, they may consider whether to send putrescible waste directly to a landfill, or to a transfer station who would send it on to a landfill (or more than one landfill). In this way, using a transfer station may be considered as part of an alternative option to sending waste directly to a landfill.

Geographic dimension

67. As described above, the ACCC considers that the distance between waste collection sites and disposal facilities is an important determinant of competition between disposal facilities, including competition between transfer stations and landfills.
68. The ACCC's preliminary view is that the geographic dimension of the market is likely to be limited to councils in the vicinity of Melbourne's central business district. This is because the ACCC considers that the geographic proximity of these councils to Dynon Road (see Figure 1) means that they may be able to reduce their overall waste management costs by using the Dynon Road transfer station. As such, these councils may consider sending waste to landfill via the Dynon Road transfer station as an alternative to sending waste directly to a landfill. Councils further away from Dynon Road or to the east of Melbourne would be less likely to use Dynon Road as there are more convenient options.

Questions for market participants

The ACCC invites comments from market participants on its preliminary views about relevant markets. In particular, collection providers and councils may wish to comment on:

- To what extent do transfer stations compete with landfills, including with reference to capacity, gate fees and location? If possible, indicate if you have recently switched between a transfer station and a landfill for putrescible waste disposal services.
- How far do you travel to access putrescible waste disposal facilities in Melbourne from collection routes? If possible, provide approximate transportation costs for the collections vehicle/s in your fleet, and explain how these impact your decision on how far your vehicles travel.
- To what extent do differences in gate fees between facilities (including between transfer stations and landfills) affect your choice of disposal facility?
- Would you choose a disposal facility further away if its gate fees were materially lower than a proximate disposal facility? If so, how much lower would the gate fees need to be to justify additional transportation costs?
- How do toll costs (or other road characteristics) impact your choice of disposal facility?

In your response, please indicate if the comments are in relation to commercial and industrial waste or in relation to municipal waste.

Commercial and industrial waste collection for putrescible waste

Product dimension

69. The ACCC's preliminary view is that commercial and industrial waste collection services are in a separate market from municipal waste collection services due to the following:
- Commercial and industrial customers are unlikely to be able to use household kerbside bins to dispose of their waste. Similarly, households are unlikely to be able to use commercial and industrial businesses' bins to dispose of their waste.
 - The ACCC understands that the truck fleets used to service a municipal contract are exclusively used for that purpose and cannot be used to service commercial and industrial customers.
 - The ACCC understands that the process for obtaining collections contracts differs materially. Commercial and industrial customers use informal procurement processes, and tend to have short term contracts or informal arrangements with collections suppliers. Whereas municipal collections contracts are awarded through competitive tender processes with detailed requirements and tend to be long term (often 7 years with the possibility of extension).

Geographic dimension

70. The ACCC's preliminary view is that the geographic dimension of the commercial and industrial collections market is likely to be in Melbourne, where the parties' operations currently overlap.

Municipal waste collection for putrescible waste

Product dimension

71. As described above, the ACCC's view is that there is a separate market for the supply of municipal waste collection.

Geographic dimension

72. The ACCC is considering whether the proposed acquisition would impact Cleanaway's ability and incentive to foreclose rival providers of municipal collections services through raising these rivals' costs at Dynon Road, or through bundling (or otherwise connecting) the Dynon Road services with municipal collections services and possibly Melbourne Regional Landfill's services.
73. In particular, the ACCC is considering how this may impact councils within the vicinity of the Melbourne's central business district who could use the Dynon Road transfer station to lower the overall waste management costs associated with their putrescible waste.

74. As such, the ACCC's preliminary view is that the geographic dimension of the market is likely to be limited to the councils in the vicinity of Melbourne's central business district.

Issue of concern: Reduction in competition in the supply of putrescible waste disposal services for commercial and industrial waste

75. The ACCC's preliminary view is that the proposed acquisition is likely to have the effect of substantially lessening competition in the supply of putrescible waste disposal services in Melbourne for commercial and industrial waste, particularly in the central and west regions of metropolitan Melbourne.
76. The ACCC is concerned that the proposed acquisition would remove the competitive tension between Dynon Road and nearby putrescible waste disposal facilities operated by Cleanaway, including Melbourne Regional Landfill, likely leading to higher prices and/or reduced service quality for waste disposal services at these facilities.

Removal of competitive tension between Dynon Road and Cleanaway's Melbourne Regional Landfill for commercial and industrial waste

77. The ACCC understands that Dynon Road is a key putrescible waste disposal facility in Melbourne, particularly for customers that have commercial waste collection operations in and around Melbourne's central business district. The ACCC understands that it is open 24 hours 7 days a week and has the capacity to accept large commercial volumes of putrescible waste.
78. Cleanaway's Melbourne Regional Landfill, located approximately a 35-minute drive from Dynon Road, is one of the closest putrescible waste disposal facilities to Dynon Road (as shown above in Figure 1). In addition to location, the ACCC understands that Melbourne Regional Landfill's capacity to accept large commercial volumes of putrescible waste and 24 hour weekday opening hours are factors identifying Melbourne Regional Landfill as a key alternative to Dynon Road.
79. The ACCC is concerned that if the proposed acquisition proceeds, the competitive tension that currently exists between Dynon Road and Cleanaway's disposal facilities, in particular Melbourne Regional Landfill, would be lost.
80. The ACCC will continue to consider the degree to which Cleanaway's other disposal facilities compete with Dynon Road. Other putrescible waste disposal facilities in Melbourne owned and/or operated by Cleanaway include Brooklyn, Laverton, Lysterfield and the South East Melbourne Transfer Station (**SEMTS**).
81. While Cleanaway's putrescible waste disposal facility located at Brooklyn is approximately 15 kilometres from the Melbourne central business district, and nearby to Melbourne Regional Landfill and Dynon Road, the ACCC understands

that it is not currently a viable alternative to these two facilities as it has a limited ability to accept large-scale commercial volumes of putrescible waste and does not operate overnight.

Alternative putrescible waste disposal facilities are unlikely to impose a sufficient constraint

82. The ACCC is concerned that other putrescible waste disposal facilities in Melbourne are unlikely to impose a sufficient constraint on Cleanaway post-acquisition.
83. The ACCC understands that there are a small number of alternative disposal facilities capable of handling the large volume of putrescible waste typically tipped by commercial and industrial and municipal collections companies in greater Melbourne. These are primarily the landfills located at Bulla (operated by Hi-Quality), Werribee (operated by Wyndham City Council), Wollert (operated by Hanson) and Hallam Road (operated by Veolia). While these alternative landfills may have comparable gate fees, they do not appear to be a viable option for waste that is collected from sites close to Dynon Road and Melbourne Regional Landfill.
84. These alternative landfills are located on the outskirts of Melbourne as shown above in Figure 1, and delivering waste from collection routes that are close to Dynon Road and Melbourne Regional Landfill to these alternative landfills would incur relatively higher transportation costs impacting fuel and staff costs. Increasing the time a collections company's fleet spends transporting waste may also reduce the time it can be profitably deployed in waste collection.
85. The ACCC understand that some other disposal facilities have significantly higher gate fees relative to Dynon Road and Cleanaway's Melbourne Regional Landfill. There are also limited alternative facilities that offer comparable opening hours to Dynon Road and Cleanaway's Melbourne Regional Landfill.
86. The ACCC also understands that there are a number of putrescible waste disposal facilities around Melbourne that cater to residents disposing of household waste (as distinct from municipal collections services). These council owned transfer stations are unable to accept putrescible waste from commercial and industrial waste collectors due to insufficient throughput capacity and inadequate infrastructure to accommodate the collection trucks used by commercial and industrial waste collectors. Accordingly, we do not consider these council owned transfer stations are likely to impose a strong competitive constraint on Cleanaway post-acquisition.

High barriers to entry and expansion for disposal facilities in the affected area

87. The ACCC's preliminary view is that there are high barriers to entry and expansion for waste disposal facilities in the affected area, limiting the degree to which new entry and expansion could constrain Cleanaway post-acquisition. The ACCC has considered new entry and expansion in the context of establishing a new putrescible waste disposal facility including waste to energy facilities, as well as non-putrescible facilities being converted to also accept putrescible waste.
88. The ACCC understands that the key barriers to entry and expansion include:
- the availability and cost of suitable land in the central and west region of Melbourne
 - regulatory approvals, including Planning Permits, Development Licences and putrescible waste licences, and the time involved in seeking and obtaining these approvals
 - the time and cost involved in developing facilities through to operation, particularly waste to energy facilities.
89. These barriers impact the likely profitability of new entry or expansion, as well as the timeliness and magnitude of new entry or expansion in the affected area.
90. Waste to energy facilities have the potential to be new entrant suppliers of putrescible waste disposal services. As identified above, the ACCC is aware of three currently approved waste to energy facilities in Melbourne. However, only one of the three approved facilities, Recovered Energy Laverton,¹³ will be located in the west region of Melbourne, approximately 19km driving distance from Melbourne's central business district. The facility is due to become operational by FY2025/26 and the ACCC understands that Recovered Energy Laverton has already entered into contracts with three Melbourne councils.¹⁴ The ACCC is concerned that the facility may not have sufficient capacity to replace the competition lost by the acquisition of Citywide Waste.
91. The ACCC considers it unlikely that other waste to energy facilities will be approved, constructed and commence operation in a timely way to constrain Cleanaway post-acquisition. The ACCC understands that there are long lead times involved in seeking regulatory approvals, and there is a need to secure large volumes of putrescible waste (particularly municipal disposal contracts)

¹³ A partnership between Recovered Energy Australia and Solo Resources, to be constructed at 28 Alex Fraser Drive, Laverton North

¹⁴ <https://www.recoveredenergy.com.au/project-details>, <https://www.recoveredenergy.com.au/news>, <https://www.monash.vic.gov.au/About-Us/News/Recovering-energy-from-landfill-waste>

before commencing construction. For instance, Recovered Energy Laverton received planning and development approvals in 2019 and 2020.¹⁵

92. The ACCC understands that the process of converting an inert waste transfer station into a facility capable of accepting large-scale commercial volumes of putrescible waste is lengthy and challenging. In addition to having to obtain the relevant licence to be able to accept putrescible waste, obtaining the necessary regulatory approvals may take several years, particularly due to the need for community consultation. Additionally, putrescible waste disposal facilities typically require larger sites due to the Victorian Environmental Protection Agency's Separation Distance Guidelines,¹⁶ and many existing sites at which inert waste disposal facilities are located lack the land needed for expansion.
93. Accordingly, the ACCC considers that it is unlikely that new entrants, or existing suppliers, could impose a sufficient competitive constraint on Cleanaway post-acquisition.

ACCC's preliminary views on the impact on competition in the supply of putrescible waste disposal services for commercial and industrial waste

94. In summary, the ACCC is concerned that the proposed acquisition is likely to substantially lessen competition in the supply of putrescible waste disposal services for commercial and industrial waste, particularly in the central and west regions of metropolitan Melbourne.

Questions for market participants

For putrescible commercial and industrial waste, the ACCC invites comments from market participants on:

- The extent to which Dynon Road competes with Cleanaway's disposal facilities, particularly Cleanaway's Melbourne Regional Landfill.
- Whether and to what extent customers switch between the Dynon Road Facility and Cleanaway's disposal facilities in response to a price increase and/or a reduction in service quality (e.g. waiting times) at the Dynon Road Facility.
- The other third-party putrescible disposal facilities in Melbourne that customers consider to be suitable alternatives to the Dynon Road Facility.
- The key factors that determine customers choice of disposal facility.
- The extent to which transportation costs and travel time impact choice of disposal facility, including with reference to average transportation costs per kilometre and any other costs such as potential lost productivity.
- The extent to which Cleanaway's Brooklyn facility is a suitable alternative to Dynon Road for putrescible waste disposal customers including, if considered relevant, with reference to its opening hours, any operational limitations such as

¹⁵ <https://www.recoveredenergy.com.au/news>

¹⁶ <https://www.epa.vic.gov.au/about-epa/publications/separation-distance-and-landfill-buffer-guidelines>

limitations on its ability to accept large-scale commercial volumes of putrescible waste, and pricing offered.

- The process involved in establishing a new putrescible waste disposal facility, modifying an existing putrescible waste disposal facility to accept greater volumes of waste, or converting a non-putrescible facility into one that accepts putrescible waste, including the costs and required regulatory approvals.
- The competitive impact on competition in the supply of putrescible waste disposal services for commercial and industrial waste in the central and west regions of metropolitan Melbourne whether Cleanaway or another party (other than Citywide) operates the Dynon Road Facility,
- If the proposed acquisition proceeds, what impact would the proposed redevelopment of the Dynon Road Facility have on competition in waste disposal or collection markets? If the proposed acquisition did not proceed, what impact would the present state of the Dynon Road Facility have on competition in waste disposal or collection markets?

Issue that may raise concern: Reduction in competition in the supply of putrescible waste disposal services for municipal waste

95. The ACCC is concerned that the proposed acquisition may have the effect of substantially lessening competition in the supply of putrescible waste disposal services for councils in the vicinity of Melbourne's central business district by removing competitive tension between Dynon Road and Cleanaway's Melbourne Regional Landfill.
96. The ACCC understands that many councils in Melbourne have obtained putrescible waste disposal services, including both landfill and transfer station services, through a joint tender process. The ACCC considers that, in future, it is possible for councils to continue to procure these services through tender processes. Further, as discussed above, the ACCC understands that municipal collections companies can deliver waste to either transfer stations or landfills.
97. As such, when councils are considering their disposal arrangements through future tender processes, they may consider whether to send their collections vehicles directly to a landfill, or to a transfer station (which would then send the waste on to a landfill). Transfer stations may also be able to reduce councils' overall waste management costs for sending waste to relatively distant landfills. In this way, using a transfer station may be considered as part of an alternative option (or options) to sending waste directly to landfill.
98. The ACCC is concerned that proposed acquisition may impact councils within the vicinity of Melbourne's central business district who currently, or could in the future, use the Dynon Road transfer station to lower the overall waste management costs associated with their putrescible waste. This includes where the use of Dynon Road could reduce the council's overall waste management costs as an alternative to sending waste directly to either Melbourne Regional Landfill, or other landfills. As such, the ACCC is concerned the acquisition may

reduce the benefits from any competitive tension between Melbourne Regional Landfill and Dynon Road in future tender processes.

Questions for market participants

For putrescible municipal waste, the ACCC invites comments from market participants on:

- The extent to which Dynon Road competes with Cleanaway's disposal facilities, particularly Cleanaway's Melbourne Regional Landfill.
- The alternative disposal options that councils close to Melbourne's central business district have considered in recent procurement processes, and whether these options have included the Dynon Road transfer station.
- The other third-party putrescible disposal facilities in Melbourne that customers consider to be suitable alternatives to the Dynon Road Facility.
- The key factors that determine customers choice of disposal facility.
- The extent to which transportation costs and travel time impact choice of disposal facility, including with reference to average transportation costs per kilometre and any other costs such as potential lost productivity.
- The process involved in establishing a new putrescible waste disposal facility, modifying an existing putrescible waste disposal facility to accept greater volumes of waste, or converting a non-putrescible facility into one that accepts putrescible waste, including the costs and required regulatory approvals.
- The impact on competition in the supply of putrescible waste disposal services for municipal waste for councils in the vicinity of Melbourne's central business district whether Cleanaway or another party operates the Dynon Road Facility.
- If the proposed acquisition proceeds, what impact would the proposed redevelopment of the Dynon Road Facility have on competition in waste disposal or collection markets? If the proposed acquisition did not proceed, what impact would the present state of the Dynon Road Facility have on competition in waste disposal or collection markets?

Issue that may raise concerns: Foreclosure of rival collections service providers

99. The ACCC is concerned that the proposed acquisition may increase Cleanaway's ability and incentive to foreclose rival commercial and industrial waste collectors of putrescible waste from putrescible waste disposal services by raising rivals' costs. This may reduce these rivals' ability to compete for, and retain, collections customers, subsequently leading to higher prices and/or reduce service levels for rival providers of commercial and industrial waste collection services. The ACCC is considering the extent to which Cleanaway would engage in such foreclosure by increasing prices and/or reducing service levels at Dynon Road and Melbourne Regional Landfill.
100. The ACCC is also considering whether the acquisition could increase Cleanaway's ability and incentive to foreclose rival providers of municipal collections services for putrescible waste, impacting the ability of rivals to

compete for municipal collections contracts in the vicinity of Melbourne's central business district. As discussed below, the ACCC is considering whether this could occur through raising these rivals' costs or through bundling (or otherwise connecting) disposal and collections services.

Foreclosure of rival commercial and industrial collectors of putrescible waste

101. As discussed above, the ACCC is concerned that the proposed acquisition would remove the competitive tension between Dynon Road and Cleanaway's nearby putrescible waste disposal facilities, in particular Cleanaway's Melbourne Regional Landfill. The ACCC is concerned that there are limited alternatives to these disposal facilities in the central and west regions of metropolitan Melbourne, and that barriers to entry and expansion are high, resulting in Cleanaway holding substantial market power in putrescible waste disposal in this area post-acquisition.
102. While the ACCC is concerned, at a general level, that this loss of competition is likely to lead to higher prices and/or lower service levels for putrescible waste disposal services, the ACCC is also considering Cleanaway's incentive post-acquisition to foreclose downstream rival suppliers of commercial and industrial waste collection services for putrescible waste.
103. Suppliers of commercial and industrial waste collection services incorporate disposal services in their offerings to customers. These suppliers typically have direct disposal arrangements with multiple disposal facilities and will decide which disposal facilities they use in order to minimise their transportation costs and maximise their fleet utilisation rates. As such, disposal services are as an input to commercial and industrial collection services.
104. Rival suppliers of commercial and industrial waste collection services who wish to service customers located in the central and west regions of metropolitan Melbourne are likely to require access to nearby waste disposal facilities at competitive rates, and competitive service levels, to compete effectively in these regions. If rival collectors faced relatively higher prices or lower service levels to Cleanaway at Dynon Road and Melbourne Regional Landfill, these rivals would either have to travel further to use alternative disposal facilities (increasing their transport costs) or incur higher costs to use these facilities than Cleanaway. These higher costs would impact their ability to compete for, or retain, commercial and industrial customers in competition with Cleanaway.
105. As such, the ACCC is concerned that the proposed acquisition may substantially lessen competition in the supply of commercial and industrial waste collection services for putrescible waste given Cleanaway's increased ability and incentive to raise prices or reduce service quality for disposal services at Dynon Road and Melbourne Regional Landfill for rival suppliers of commercial and industrial collections services.
106. As discussed above, the ACCC is continuing to consider the extent to which Cleanaway's other putrescible disposal facilities compete with Dynon Road. The ACCC is also continuing to consider the extent to which alternative third party putrescible disposal facilities compete with Dynon Road and Cleanaway's

putrescible disposal facilities, particularly in the central and west regions of metropolitan Melbourne.

107. The ACCC is also considering the extent to which any such foreclosure strategy for these disposal services may impact on competition for national or multi-regional commercial and industrial collections contracts, noting that collections in Melbourne could be a material proportion of some multi-regional or national contracts.

Potential foreclosure of rival municipal collectors of putrescible waste

108. As indicated above, the ACCC is considering the impact of the proposed acquisition on putrescible waste disposal services for municipal waste for councils in the vicinity of Melbourne's central business district.
109. The ACCC is also considering whether the acquisition would increase Cleanaway's ability and incentive to foreclose rival suppliers of municipal collections services for putrescible waste, and in doing so impact these rivals' ability to compete for municipal collections services for the councils located in the vicinity of the Melbourne central business district.
110. The ACCC is considering whether this could occur through raising collection rivals' costs through higher prices or lower quality services at Dynon Road.
111. The ACCC is also considering whether this could occur through bundling (or otherwise connecting):
- Dynon Road's services with municipal collections services, or
 - Melbourne Regional Landfill's services, Dynon Road's services and municipal collection services.
112. The ACCC considers that the form and likelihood of foreclosure depends in part on how landfill, transfer station and collections services are acquired, and what type of service is part of each relevant contract or arrangement. The ACCC understands that currently:
- councils typically tender for collections services separately to putrescible waste disposal services (where disposal services includes both landfill and transfer station services)
 - councils typically hold contracts for the supply of the putrescible disposal services directly with the suppliers, and payment for these services is made directly from the council to the supplier
 - councils typically specify the disposal facility used for putrescible waste, and the collector does not generally have discretion as to which facility they drop the waste off at.
113. The ACCC is still considering these matters, including whether the way that these services are currently acquired could change in future, and the risk that the

foreclosure strategies identified above could be adopted by Cleanaway post-acquisition.

Questions for market participants

In addition to the questions identified above regarding the removal of Dynon Road as a competitor to Cleanaway's putrescible waste disposal facilities, the ACCC invites comments from market participants on:

- The degree to which Cleanaway may foreclose rival commercial and industrial collectors through increased prices or lower quality services at Dynon Road or Melbourne Regional Landfill, and how this could impact prices and service levels offered to collections customers.
- The extent to which rival municipal collectors could be foreclosed by operators of waste disposal facilities in the future, taking into account councils' current approach to waste tenders and contracting and any future changes to this approach.
- Whether an operator of a transfer station or landfill could provide its own collections vehicles with higher quality service levels compared to their competitors' collections vehicles.
- Whether a vertically integrated supplier of disposal services and collection services would have an incentive to foreclose rival collection providers. If possible, also provide information on the profit margins for putrescible waste disposal relative to the profit margins for commercial and industrial waste collection services.
- Whether there would be a difference in competitive outcomes in the supply of commercial and industrial collection services where the Dynon Road Facility is operated by Citywide, Cleanaway or another party.
- Council requirements for municipal collections contracts, and the weighting of those requirements in consideration of tender processes.
- The extent to which Cleanaway and Citywide Waste have competed for municipal collections contracts for Melbourne councils.
- The alternative providers of municipal collections services in Melbourne and their ability to meet council requirements for municipal collections contracts.

Issue unlikely to raise concerns: foreclosure of rival waste to energy facilities

114. The ACCC's preliminary view is that the proposed acquisition is unlikely to have the effect of substantially lessening competition in the supply of waste to energy services in Melbourne.
115. The ACCC considered whether the proposed acquisition would have the effect of foreclosing potential rival waste to energy facilities from an important feedstock of waste coming from the Dynon Road Facility.

116. As identified above, the ACCC understands that there are high capital costs involved in building waste to energy facilities and developers of waste to energy facilities need to make arrangements to secure future waste feedstocks for their facilities in order to obtain funding.
117. Although Dynon Road may be a source of waste for future waste to energy facilities due to its putrescible waste capacity, the ACCC understands that there are multiple alternative sources of waste that rival developers of waste to energy facilities could seek to use. In particular, municipal disposal contracts can also provide the security of supply to waste to energy facilities. Recovered Energy Laverton has entered into disposal contracts with three municipal councils, and 9 councils in the south east of Melbourne have entered into contracts with the Maryvale energy from waste facility in the Latrobe Valley.¹⁷
118. Accordingly, the ACCC does not consider that the acquisition of Dynon Road will materially impact rival waste to energy facilities' ability to secure waste feedstocks.

Questions for market participants

The ACCC invites comments from market participants in relation to:

- The process involved in developing waste to energy facilities, including the cost, regulatory approvals and the importance of securing waste feedstocks.
- The extent to which putrescible transfer stations can provide security of feedstocks relative to council disposal contracts.
- The extent to which different sources of waste feedstocks can act as a secure source of supply of feedstock for developers of energy from waste facilities, such as municipal kerbside waste, commercial and industrial waste and waste from transfer stations.

ACCC's future steps

119. As noted above, the ACCC invites submissions from market participants on each of the issues identified in this Statement of Issues and on any other issue that may be relevant to the ACCC's assessment of this matter. Submissions should be emailed to mergers@accc.gov.au by no later than **28 November 2024**.
120. The ACCC will finalise its view on this matter after it considers submissions invited by this Statement of Issues.
121. The ACCC intends to publicly announce its final view by **13 February 2025**. However the anticipated timeline may change in line with the [Informal Merger Review Process Guidelines](#). A Public Competition Assessment explaining the ACCC's final view may be published following the ACCC's public announcement.

¹⁷ <https://www.casey.vic.gov.au/news/south-east-metropolitan-advanced-waste-processing-semawp-pty-ltd-enters-waste-supply-agreement>